



Mitigation of Damages

Overview

Individuals who have been subject to employment discrimination as a general rule must make a reasonable effort to limit, or mitigate, the damage they suffer. A failure to mitigate damages can impact the remedy a successful EEO complainant receives.

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Key Points

These key-point summaries cannot reflect every fact or point of law contained within a source document. For the full text, follow the link to the cit source. The references to **Hadley** in this Quick Start Guide are to federal employment law expert Ernest Hadley's treatise, *A Guide to Federal Sector Equal Employment Law and Practice* (Dewey Publishing, Inc.), to which **cyberFEDS®** has exclusive V rights.

Mitigation generally

- **Hadley:** Title VII was not intended to produce windfall benefits to victims of discrimination. As such, complainants have a duty to mitigate - or lessen --damages by making a "reasonable ... good faith effort to find other employment." *Skaggs v. Tennessee Valley Authority*, [87 FEOR 23657](#), EEOC No. 01870096 (EEOC 1987), citing *Miller v. Marsh*, [85 FEOR 7038](#), 766 F.2d 490 (11th Cir. 1985). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).
- **Hadley:** The commission held that it is the agency that has the burden of proving that the complainant failed to mitigate damages. "In this regard, the Commission notes that appellant is not required to actually find a suitable position, as long as she makes reasonable efforts to so." *Truran v. U.S. Postal Service*, [90 FEOR 20993](#), EEOC No. 01902296 (EEOC 1990). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).
- [29 CFR 1614.105](#) (b) provides that at the initial counseling session, counselors must advise individuals in writing of their rights and responsibilities, including their duty to mitigate damages.
- **Hadley:** A complainant fails to mitigate damages when the agency unconditionally offers him an equivalent or greater job, provided the offer is not made as part of an effort to resolve the case. *Bankston v. Secretary of Tennessee Valley Authority*, [98 FEO 16411](#), EEOC No. 01971472 (EEOC OFO 1998). In such cases, the complainant only is entitled to back pay from the date of nonselect through the date he declined the unconditional job offer. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).
- **Hadley:** An employee is not required to accept an alternative offer of employment where the new position would not remove him from the environment where harassment was occurring. Citing *Oest v. Department of Justice*, [111 LRP 15554](#), EEOC No. 0720110002 (EEOC OFO 2011). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).
- **Hadley:** An employee who is forced into a leave without pay status as a result of the agency's failure to make a reasonable accommodation of her disabling condition is not required to search for alternative employment in order to mitigate her damages. See *Ferguson v. U.S. Postal Service*, [92 FEOR 3419](#), EEOC No. 05920329 (EEOC 1992). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).

Agency's burden

- The agency bears the burden of showing that an employee failed to mitigate his damages by using reasonable care and diligence in seeking a suitable position after being discriminatorily terminated. *Damon Q. v. U.S. Postal Service*, [116 LRP 116](#), EEOC No. 0420130028 (EEOC OFO 2015).
- A back pay claimant generally has a duty to mitigate damages. The burden is on the agency to show that an employee failed in his duty to mitigate. *Bedynek-Stumm v. Department of Veterans Affairs*, EEOC No. 0120111340, [111 LRP 46300](#) (EEOC C 2011).
- **Hadley:** At times, the precise relief to be granted has a degree of speculation to it and a general principle of fashioning relief is that the benefit of the doubt does not go to the wrongdoer. The effect of that principle is that it often works to shift the burden of proof to the agency.

to limit the remedy. For example, the complainant has a duty to mitigate damages by taking such actions as looking for alternative employment, but the burden of proof is on the agency to demonstrate that the complainant has failed to mitigate damages. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Elements of Equitable Relief](#).

- The EEOC has generally held that an agency must satisfy a two-prong test to establish that a complainant failed to mitigate damages. The test requires the agency to show that: 1) the complainant failed to use reasonable care and diligence in seeking a suitable position; and 2) there were suitable positions available which the complainant could have discovered and for which he was qualified. *Bedynek-Stum v. Department of Veterans Affairs*, EEOC No. 0120111340, [111 LRP 46300](#) (EEOC OFO 2011).
- Where a complainant makes no effort to mitigate damages and doesn't explain the lack of effort, the agency does not have to meet the second prong of the test. *Bedynek-Stumm v. Department of Veterans Affairs*, EEOC No. 0120111340, [111 LRP 46300](#) (EEOC OFO 2011).
- **Hadley:** Although the agency bears the burden of proof on the mitigation issue, the employee must cooperate and provide the agency with evidence of efforts to secure alternative work. The failure of an agency to notify an employee of his duty to mitigate damages does not excuse the employee from failing to attempt to do so. *Sorce v. U.S. Postal Service*, [91 FEOR 23068](#), EEOC No. 01912 (EEOC 1991). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).

EEOC decisions addressing mitigation

- The complainant, who requested reassignment as a reasonable accommodation and was pursuing the interactive process, was entitled to back pay even though he did not apply for other positions. The EEOC found it was logical for him to expect a possible reassignment through the reasonable accommodation process and not search for other employment. Since the agency improperly failed to engage in the interactive process with him, he did not learn of the results of any job searches until he received his proposed removal. *Wes S. v. Department of Transportation, Federal Aviation Administration*, [124 LRP 944](#), EEOC No. 2023002815 (EEOC OFO 2023).
- The complainant's back pay was limited because she failed to mitigate her losses. She not only turned down multiple job offers, but she refused to participate in a vocational rehabilitation program at least once and possibly twice. Several of the job offers she rejected were for limited-duty positions that fell within her five-pound lifting restrictions. *Elsa O. v. U.S. Postal Service*, [123 LRP 25205](#), EEOC No. 2022003509 (EEOC OFO 2023).
- An EEOC administrative judge found that the complainant, a mail processing clerk, was subjected to retaliation for her EEO activity when she was told there was no work available within her medical restrictions and sent home. However, she was not entitled to back pay because she did not explain her failure to mitigate her damages by looking for jobs outside the agency. *Kyong L. v. U.S. Postal Service*, [121 LRP 26405](#), EEOC No. 2020003693 (EEOC OFO 2021).
- The complainant's back pay was limited because she did not mitigate her damages after she stopped sending resumes out. She provided few details and no real explanation as to why she stopped looking for employment. *Nicki D. v. Equal Employment Opportunity Commission*, [121 LRP 32887](#), EEOC No. 0720180023 (EEOC 2021).
- The complainant was entitled to back pay because the agency failed to prove, by a preponderance of the evidence, that he did not do enough to mitigate lost wages when he worked for his family's car wash and lube business after being discriminatorily terminated. *Kyle S. v. Department of Agriculture, Forest Service*, [121 LRP 28901](#), EEOC No. 2019005694 (EEOC OFO 2021).
- The Postal Service improperly denied the petitioner over four years of back pay based on its determination that he failed to mitigate his damages. There was evidence that the petitioner sought employment, as well as employment assistance, and the agency did not identify any suitable vacant positions for which he could have applied. *Damon Q. v. U.S. Postal Service*, [116 LRP 116](#), EEOC No. 0420130028 (EEOC OFO 2015).
- A linguist who was discriminatorily terminated by the Department of Justice mitigated his damages during a four-year period because he diligently searched for employment during that time. However, he failed to mitigate his damages for two years when he admittedly did not engage in a diligent search for work. His back pay award reflected the two-year failure to mitigate. *Complainant v. Loretta Department of Justice, Federal Bureau of Investigation*, [0720150003](#), [115 LRP 21043](#) (EEOC OFO 2015).
- Usually, a back pay award runs until a complainant is reinstated into the position he lost due to the discrimination. To justify a reduction in award of back pay, the agency has the burden of establishing the complainant's failure to mitigate damages. The EEOC rejected the agency's attempt to limit back pay to the period in which the complainant received medical treatment for the harm caused by its discrimination. *Complainant v. Department of Agriculture*, [0120112546](#), [114 LRP 49884](#) (EEOC OFO 2014).
- Complainants are required to mitigate damages by seeking alternative work. However, in this case, the complainant did not have to seek other work during a period when he was still employed by the agency and had requested a reasonable accommodation. He reasonably expected that the agency would grant his request for accommodation and he would return to work. *Stewart v. U.S. Postal Service*, EEOC No. 07A40045, [105 LRP 12751](#) (EEOC OFO 2005).
- The agency improperly dismissed the complainant's claim that he was subjected to discrimination when his job was abolished and he was made to bid on another position. Although the complainant successfully bid on another position and therefore did not lose any pay or benefits, the EEOC found this would be relevant as to whether he mitigated any damages if he prevails on his complaint, not whether he stated a viable claim. *Matthews v. U.S. Postal Service*, [113 LRP 1982](#), EEOC No. 0120122956 (EEOC OFO 2012).
- The petitioner mitigated her damages when she accepted a GS-3 receptionist position to which she was transferred following the unlawful denial of reasonable accommodation. For the period Dec. 12, 1995, through Sept. 30, 1996, the petitioner was entitled to back pay at the GS-7 grade level, offset by what she received in pay at the GS-3 level during that time. *Ghannam v. Agency for International Development*, [104 LRP 31561](#), EEOC No. 04A40007 (EEOC OFO 2004).
- **Hadley:** In finding a complainant did not mitigate his damages once he was able to work, the administrative judge observed that he took a volunteer position in 2008, but did not pursue other paid work until May 2009. The AJ found that once he had recovered sufficiently to work

the complainant failed to use reasonable diligence in seeking a comparable position with another employer. *Citing Knott v. U.S. Postal Service*, [111 LRP 47934](#), EEOC No. 0720100049 (EEOC OFO 2011). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Ready, Willing and Able to Work](#).

- The complainant was entitled to more back pay than she was awarded because the agency did not support its claim that she failed to mitigate her damages by accepting other work after she was discriminatorily terminated based on the agency's failure to accommodate her disability. She was not required to accept reinstatement into a position without accommodation. *McNeil v. U.S. Postal Service*, [100 FEOR 3114](#), EEOC No. 04990007 (EEOC 1999).
- The agency failed to prove that there were suitable positions available which the complainant could have discovered and for which she was qualified. Therefore, it failed to meet its burden of demonstrating that she did not mitigate her damages such that she was not entitled to an award of back pay with interest. *Todd v. U.S. Postal Service*, [93 FEOR 3042](#), EEOC No. 04920007 (EEOC 1992).

Court decisions addressing mitigation

- Mitigation is a plaintiff's statutory duty, but the employer has the burden of proof on failure to mitigate. The Postal Service failed to enter an evidence on mitigation, so the court accepted the plaintiff's evidence "at face value." *Anderson v. Postmaster General*, [117 LRP 10249](#), No. 14-13380-PBS (D. Mass 2017).
- The court concluded that the agency failed to show that a physician assistant's back pay award should be reduced for her failure to mitigate damages. She sought to mitigate her losses by seeking employment before she was required to do so, and she found other employment before the beginning of the back pay period. *Crump v. Department of the Navy*, [116 LRP 39385](#), No. 2:13cv707 (E.D. Va. 2016).
- The plaintiff applied for federal jobs after he was discriminatorily terminated. However, the court found that although he had a right to search for employment within his profession and with substantially similar terms, limiting his search to only federal positions was not reasonable; therefore was a failure to mitigate his damages. Nevertheless, the court found that he was entitled to four years of front pay. *Junaid v. Department of the Army*, [113 LRP 4263](#), No. 2:11-CV-00226 (S.D. Tex. 2013).
- The plaintiff appropriately mitigated the damages from his discriminatory nonselection for a position during a reorganization by searching for a substantially similar position through the agency's six-month Employee Transition Program. He was not required to accept the lower level position he was offered in order to satisfy his duty to mitigate. His entitlement to back pay ended when he retired after six months in the EEOC because he failed to show that he was constructively discharged. *Boehms v. Tennessee Valley Authority*, [98 FEOR 7041](#), 139 F.3d 452 (5th Cir. 1998).

Part-time work

- Income that a complainant could have earned while still holding the position at the agency should not be subtracted or offset from back pay. "Moonlight" employment is employment that the employee could have engaged in even while federally employed. See [5 CFR 550.805](#) (e)(1). [EEOC MD-110, Chapter 11, Remedies](#).
- **Hadley:** Where the employee was receiving some form of part-time pay at the time he was removed, it is improper for the agency to deduct such pay from a back pay award after reinstatement. For example, in *Haines v. U.S. Postal Service*, [99 FEOR 1132](#), EEOC No. 01974634 (EEOC OFO 1999), the Commission held that the agency was wrong to deduct reservist pay from a back pay award where the pay would have been received even if the complainant was not removed from his job. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).
- The EEOC rejected the agency's argument and found that the complainant's front pay award was not subject to mitigation. While the agency argued that the complainant was employed, the EEOC found that he continued to work for a company on a part-time, contract basis as he did prior to the discrimination. *Joseph B. v. Department of Veterans Affairs*, [118 LRP 37314](#), EEOC No. 01201807 (EEOC OFO 2018).
- "The standard for determining whether mitigating earnings should be deducted from a back pay award is whether the supplemental or moonlight job is one that the complainant cannot perform once he is reinstated into the job he lost due to discrimination. ... If there is reason to believe he can perform both jobs simultaneously and that he will do so, then those earnings from the supplemental job are independent of the position sought and should be not taken into account in calculating back pay." *Dang v. U.S. Postal Service*, [103 LRP 35209](#), EEOC No. 01996068 (EEOC OFO 2003).
- The agency was not permitted to deduct any earnings during the back pay period from complainant's back pay award since the agency failed to prove that complainant could not have worked his regular job and a night job during the back pay period. *Milder v. Department of Veterans Affairs*, [102 LRP 18968](#), EEOC No. 01A11753 (EEOC OFO 2002).

Self-employment

- **Hadley:** There is no bright-line rule as to whether self-employment constitutes a failure to mitigate damages in relation to a back pay award. The general rule is that self-employment does not per se indicate a failure to mitigate damages, but that it will constitute a failure to mitigate when the complainant engages in a self-employment venture that is a change from her previous career direction. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Self-Employment Income](#).
- Although self-employment does not, by itself, indicate a lack of reasonable diligence to mitigate, leaving a job with competitive pay to operate a small business was a failure to mitigate damages. *Beaton v. Department of Justice*, [104 LRP 4947](#), EEOC No. 04A30C (EEOC OFO 2004).
- The complainant was entitled to back pay because the agency failed to prove, by a preponderance of the evidence, that he did not do enough to mitigate lost wages when he worked for his family's car wash and lube business after being discriminatorily terminated. *Kyle S. v. Department of Agriculture, Forest Service*, [121 LRP 28901](#), EEOC No. 2019005694 (EEOC OFO 2021).

Workers' compensation

- **Hadley:** An employee with a disability who receives workers' compensation after his termination is not required to mitigate damages when he testifies that he did not seek alternative employment, because jobs for which he was qualified would not have paid him more than his workers' compensation benefits. *Citing Paolozzi v. U.S. Postal Service*, [93 FEOR 3015](#), EEOC No. 05920423 (EEOC 1992). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).

College attendance

- **Hadley:** Several courts have rejected a per se rule that full-time attendance at school demonstrates a failure to mitigate damages. *See, e.g., Peyton v. DiMario*, [2002 LRP 377](#), 287 F.3d 1121 (D.C. Cir. 2002). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate damages](#).
- **Hadley:** In *Kretschmar v. Department of the Navy*, [103 LRP 40116](#), EEOC No. 04A20032 (EEOC OFO 2003), the commission found that the complainant's attendance in college, even when it was on a full-time basis, did not show a failure to mitigate damages. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Duty to Mitigate Damages](#).
- The complainant was not entitled to back pay during a specified time period because she failed to mitigate her damages after she was discriminatorily placed on leave without pay and then terminated. She took herself out of the job market by attending college during the time in question, and she presented no evidence to indicate she made any effort to seek employment. *Simmons v. U.S. Postal Service*, [94 FEOR 3186](#), EEOC No. 04930005 (EEOC 1993).

Retirement

- Although a victim of discriminatory nonselection has a duty to mitigate his damages, a planned retirement does not preclude the victim from proving his entitlement to back pay and benefits through the date he would have retired if he had received the promotion he sought. *Hulvey v. Department of Labor, Mine Safety and Health Administration*, [108 LRP 8013](#), EEOC No. 0720070059 (EEOC OFO 2008).

Ford offer

- An employer charged with discrimination in hiring under Title VII can toll the continuing accrual of back pay liability by unconditionally offering the individual the job previously denied. These job offers are called Ford reemployment offers based on the Supreme Court's decision in *Ford Motor Co. v. EEOC*, [82 FEOR 9007](#), 458 U.S. 219 (1982).
- A complainant was not aggrieved by the agency's withdrawal of an offer of reemployment that was made during settlement negotiations. The EEOC found that the offer of reemployment was a Ford offer provided by the agency as part of its legal strategy to mitigate front and back pay liability while defending itself in the complainant's prior EEO claim. *Lorita A v. Department of Defense*, [121 LRP 40794](#), EEOC No. 2021004328 (EEOC OFO 2021).

Compensatory damages

- The complaining party has a duty to mitigate his/her [pecuniary] damages. A complaining party may not recover damages for any harm that (s)he could have avoided or minimized with reasonable effort. However, the respondent has the burden of showing that the complaining party failed to exercise reasonable diligence to mitigate his/her damages. [EEOC Enforcement Guidance: Compensatory and Punitive Damages Available under Section 102 of the Civil Rights Act of 1991](#).
- **Hadley:** If a respondent can prove that a complainant failed to exercise reasonable diligence to mitigate pecuniary damages, the damage award should be reduced to reflect all losses that could have been avoided with reasonable diligence. [Hadley Guide to Federal Sector Equal Employment Law and Practice: Definition of Compensatory Damages](#).
- The complainant was awarded damages for the loss he incurred when he was forced to sell his home after the agency retaliated against him by eliminating his position. The record clearly established that he listed the home as a result of the discrimination and that he was required to submit a cashier's check for \$46,424.12 at closing. Unlike another case cited by the agency, *Kerschner v. Department of Labor*, [94 FEOR 3359](#) (EEOC 1994), the exact amount of the loss was clear, not speculative. *Bartolomeo v. Department of Homeland Security*, [109 LRP 74376](#), EEOC No. 0720090013 (EEOC OFO 2009).
- **Hadley:** The duty to mitigate damages does not extend to nonpecuniary damages. *See Mack v. Department of Veterans Affairs*, [100 FEOR 1288](#), EEOC No. 01983217 (EEOC OFO 2000). [Hadley Guide to Federal Sector Equal Employment Law and Practice: Mitigation of Damages](#).
- But see *Young v. Social Security Administration*, [98 FEOR 3132](#), EEOC No. 01955120 (EEOC 1998), where the EEOC agreed with an AJ's determination that the complainant should receive compensatory damages for only two migraine headaches, as that her award should be diminished because she failed to mitigate the effects of the migraines by following the advice of her treating physician.

Other Resources

- [Quick Start Guide: Back Pay as an EEO Remedy](#)
- [Quick Start Guide: Compensatory Damages](#)
- For more guidance, see:
 - [Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 21 -- Forms of Equitable Relief, Subchapter 03 -- Types of Relief, Section B -- Deductions From Back Pay, Subsection 01 -- Duty to Mitigate Damages](#)

- [*Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 21 --Forms of Relief, Subchapter 01 -- Elements of Equitable Relief*](#)
- [*Hadley Guide to Federal Sector Equal Employment Law and Practice: Chapter 21 -- Forms of Equitable Relief, Subchapter 03 -- Types of Relief, Section A -- Back Pay -- General*](#)

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